

2000-2009

The DECADE that changed the world *The Retail Promise*

THE BUCK Starts Here

The great white hope of the early 2000s has turned into a pariah. Will malls pick up in the next 10 years?

By Arvind K. Singhal |

As we enter 2010, the story of modern retail in India in the last decade can be summarised as “too much on promise, too little to show for results”. At the turn of the last century, India's GDP was about \$475 billion and private (retail) consumption was about \$250 billion. Modern retail was in its infancy, accounting for just about Rs 5,000 crore in total revenues and that too was largely accounted by textile retailers. South India was believed to be the fountainhead of most activity relating to modern retail. The RPG Group (at that time operating from Chennai) was the torch-bearer for the entry of large industrial houses into modern retail though there was a lot of promise from relatively new entrants including Shoppers Stop, Globus, Pantaloons, and Wills Lifestyle. There was talk of other business houses getting into the fray, notably the Piramal Group, Adani, and Nirma among others.

Spencer Plaza in Chennai, the most exciting “shopping mall” in the country, was upstaged by Crossroads in Mumbai in 1999, which in its start-up hubris even thought of restricting the entry of visitors with criterion such as permitting entry only to “credit card” holders. Delhi received its first mall in the form of Ansal Plaza in 2001 and for a while, it became the most talked about new retail destination. Buoyed by the initial stupendous success of these malls, frantic activity began to happen in the development of new shopping centres with over 30 new malls coming into operation by 2005 and the Mehrauli-Gurgaon road (M.G. Road) in rapidly developing Gurgaon became the new “mall” road of India.

The frenzy on the promise and prospects of modern retail probably

A BLUFFER'S GUIDE

- India's consumption market is projected to reach \$550 billion by 2015. Currently, organised retail forms a mere 4-5 per cent (\$20 billion) of the \$435-billion pie. The country has over 12 million retail outlets, 95 per cent of which are in the unorganised sector.
- At \$217 billion, food forms the biggest share of India's spending pie, followed by fashion (\$33.2 billion).
- E-tailing is the next big thing. Estimates suggest that the market is worth more than Rs 10,000 crore.

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